



Indicators



Alert



Replay



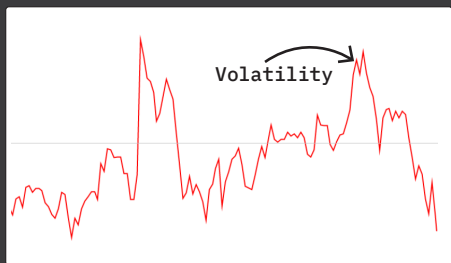
1.6

TRADING THE BREAKOUTS WITH BB AND WIDTH

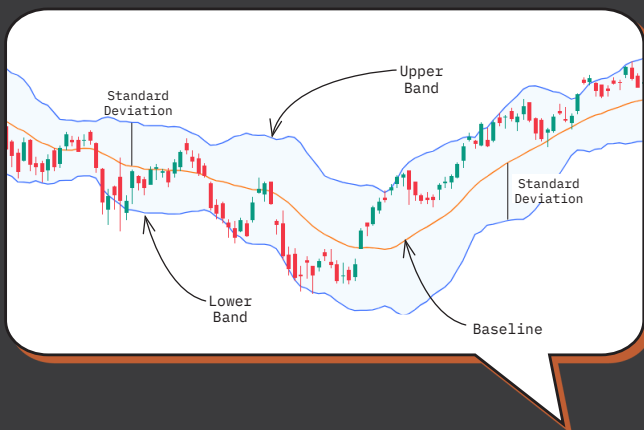


Strategy video

No matter which market you trade, volatility will always be a crucial part of the movements. I have observed the volatility in the crypto and forex market is higher than the Indian stock market. Volatility, for traders, works like a double-edged sword. When a trader knows how to handle volatility and make it work in his favour, he succeeds. However, if he fails to handle the unprecedented volatility, he becomes a victim of the volatility.



John Bollinger, an American author, financial analyst, and contributor to the field of technical analysis, has developed Bollinger Bands and Bollinger Bands Width. He studied the market for several years and found out that there is no measurement tool to gauge the trading range of an asset, and identify when volatility is going to take place.



Bollinger Bands is a tool that uses a combination of three lines - the upper band, the lower band, and the middle band. The upper and the lower band are two standard deviations from the middle band.